Part I – Original Edition A

Amazon.com, Inc. (AMZN)
FIN 43900 — Project 1: Research Evolution
Valuation Date: September 1, 2026

Decision and user: This valuation is for an analyst to decide whether Amazon is worth researching in more detail. The decision is whether to move forward with a full valuation or wait for more evidence.

Company: Amazon.com, Inc. Ticker: AMZN

Valuation date: September 1, 2026

Initial thesis: Action: Watch–defer. Amazon has strong AWS growth and a large cash balance, but I need to build a full valuation before taking a position. I also need to understand whether Amazon's large spending will produce enough future cash flow.

Known evidence: Primary filing: Amazon.com, Inc. Form 10-K

Reporting period: 2025. Filing date: February 2026.

Currency and statement units: U.S. dollars; stated in millions

Diluted-share evidence and convention: Amazon used 10,827 million weighted-average diluted shares for 2025 EPS. This includes 10,656 million basic shares and 171 million shares from the dilutive effect of stock awards.

Cash: $86,810 million of cash and cash equivalents as of December 31, 2025

Debt: $68,836 million in total face value of long-term debt at December 31, 2025. The balance-sheet long-term debt amount was $65,648 million after discounts, issuance costs, and the current portion.

Operating-value driver: AWS sales grew 20% in 2025. The filing says the increase mainly came from higher customer usage.

Consequential assumptions: AWS can keep growing and maintain enough margin to support Amazon's infrastructure.

I will use enterprise value and clearly explain how I treat cash, debt, leases, and diluted shares in the bridge to equity value.

Unknowns: What margin and reinvestment rate make sense after considering data-center and AI infrastructure spending?

Does Amazon's market price already assume very strong growth and margins?

Research plan: Pull historical revenue, operating income, depreciation, and working-capital data from Amazon's filings.

Forecast revenue, operating margin, taxes, reinvestment, and growth.

Build a WACC model, bridge enterprise value to equity value, and run analysis.

Read the latest 10-Q for evidence that supports or weakens the AWS-growth and infrastructure-spending assumptions.

Partner falsification question

Question:

Why it matters: The answer could change the decision if it shows that Amazon's margins are weakening or that capital spending is not leading to enough future cash flow.

Part II – Edition B: Updated Research

Amazon.com, Inc. (AMZN)

Course: FIN 43900

Valuation Date: September 1, 2026

Investment Decision: WATCH / DEFER

Status: Preliminary — final verification pending

1. Original Edition A Investment Thesis

My original Edition A recommendation was Watch–Defer.

Amazon has significant growth opportunities, particularly through Amazon Web Services (AWS), advertising, and continued improvements in retail operating efficiency.

However, I was concerned about the amount of capital Amazon must invest in technology infrastructure, fulfillment, and artificial intelligence.

My original thesis was that Amazon could be an attractive long-term investment, but I needed additional evidence that future cash flows justified its market valuation.

2. Research and Analysis Added in Edition B

Since Edition A, I have developed a five-year financial model covering 2026 through 2030.

The model forecasts Amazon's three operating segments:

- North America

- International

- AWS

It also includes:

- Revenue and operating income forecasts

- A preliminary income statement

- Capital expenditures and depreciation

- Operating net working capital

- Preliminary cash flow and balance sheet schedules

- Discounted free cash flow valuation

- Weighted average cost of capital

- Terminal-growth sensitivity analysis

- Low, base, and high valuation sensitivity cases

- Reverse DCF analysis

- An interactive Streamlit application

I used Python to build and test the calculations. I also performed preliminary arithmetic and financial-statement linkage checks.

3. Financial Forecast Findings

The base model forecasts Amazon's revenue increasing from approximately $840.3 billion in 2026 to $1.365 trillion in 2030.

Operating income is projected to increase from approximately $105.6 billion to $203.6 billion over the same period.

The forecast assumes continued AWS growth, improving consolidated operating margins, and capital expenditures that gradually decline as a percentage of revenue.

However, capital expenditures remain substantial throughout the forecast period.

The model estimates 2026 free cash flow to the firm of approximately negative $6.5 billion, improving to approximately $106.6 billion in 2030.

These forecasts depend on provisional assumptions and require further independent validation.

4. Preliminary Valuation Results

The model uses an approximately 10.5% weighted average cost of capital and a 3.0% terminal growth rate.

The preliminary September 1 timing-adjusted DCF estimates Amazon's value at approximately $105 per share.

The reference market price is $254.92.

The initial sensitivity scenarios produce:

- Low valuation: $66.00 per share

- Base valuation: $104.87 per share

- High valuation: $171.90 per share

The interactive dashboard may differ slightly because its WACC control rounds the displayed assumption.

These figures represent sensitivity cases rather than complete alternative operating forecasts.

The gap between the preliminary DCF estimate and the reference market price may reflect differences in expectations for AWS growth, operating margins, infrastructure spending, and long-term free cash flow. However, the model’s simplified forecasting assumptions may also contribute to this difference. Therefore, I would not treat the gap as sufficient evidence to initiate or reject an investment when seen alone.

5. Reverse DCF Findings

The preliminary reverse DCF indicates that forecast free cash flows would need to be multiplied by approximately 2.42 to reproduce the reference market price, holding WACC, terminal growth, and the simplified equity bridge constant.

This does not imply that revenue must grow by 142%. Free cash flow also depends on profit margins, capital spending, depreciation, and working capital.

The reverse DCF highlights how important Amazon's future cash-flow conversion is to its valuation.

6. How My Investment Thesis Has Changed

Edition A identified Amazon's growth potential while raising questions about its valuation and capital intensity.

Edition B provides numerical evidence that the valuation is highly sensitive to AWS profitability, infrastructure spending, and long-term free cash flow.

The model's preliminary estimates are materially below the reference market price. However, I would not interpret the difference as a definitive indication that Amazon is overvalued because several assumptions and accounting treatments remain unresolved.

My conclusion remains Watch–Defer, but Edition B gives me a clearer understanding of the financial performance that would be required to support an investment.

7. Remaining Uncertainty and Verification

Important unresolved issues include:

- Improving the September 2026 remaining-year cash-flow estimate.
- Reconciling valuation-date assumptions and market inputs.
- Properly incorporating dilution, financing claims, and leases.
- Forecasting all material financial-statement accounts.
- Verifying terminal-period reinvestment assumptions.
- Completing consistent peer valuation multiples.

Validation Update: The AI-OFF CapEx changed-input test was completed on October 16, 2026, and passed its numerical-expenditure check. The separate Validation and AI Use Record contains the test results and remaining verification limitations.

8. Decision and Reversal Conditions

Decision: WATCH / DEFER

I would reconsider the recommendation if independently validated forecasts demonstrated sufficient sustainable free cash flow to justify the market price while providing an acceptable margin of safety.

I would also reconsider the decision if changes in AWS economics, capital expenditure requirements, or financing assumptions materially affected the estimated valuation.

9. Conclusion

Edition B moves the analysis from a qualitative investment thesis toward a quantitative financial decision system.

The additional modeling reinforces the importance of capital intensity and free cash flow conversion to Amazon's valuation.

The preliminary analysis supports continued monitoring rather than an immediate investment commitment. A final decision requires completed verification, a reconciled valuation, and an independent comparable-company analysis.